WEEK 2 · LECTURE L1 · UNIT I

Drivers of Digital Transformation

Why now? The forces that make transformation unavoidable, and what they do to the HR function.

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AFTER THIS LECTURE YOU SHOULD BE ABLE TO

What this lecture prepares you for

- Distinguish a driver from a technology, and explain why the distinction matters for strategy.
- Classify the drivers of HR digital transformation into four families, with Indian examples.
- Apply the TOE framework, institutional isomorphism, the resource-based view and Ulrich's roles to a digital HR decision.
- Evaluate how the HR role evolves from administrator to digital change agent.

COURSE OUTCOMES

CLO 1 (concepts and drivers of digital transformation in HR).

THE IDEA THAT RUNS THROUGH THIS LECTURE

Technology adoption is not maturity

Adoption

Buying and installing technology. It can be purchased in a quarter.

Maturity

The organizational capability to make technology deliver results. It is built over years and is never evenly distributed inside a firm.

Why it matters

Most failed programs confused the first with the second: the tools arrived, the capability did not.

THE DISTINCTION THAT GOVERNS THE LECTURE

A technology is not a driver

Driver

A force that changes the cost of not acting: a rival's faster hiring, a new law, rising attrition costs.

Technology

The means by which acting becomes possible: cloud software, mobile apps, APIs, analytics.

Cloud computing does not force an organization to transform. A competitor whose time to hire falls to a fraction of yours does.

EXAM LENS

When asked "why now", answer with drivers, not technologies. Listing tools is the commonest weak answer.

THE FOUR FAMILIES

Four families of driver

Family	What it does	Examples
Technological	Makes change possible	SaaS replaces capital spending; APIs make systems composable; cheap mobile data reaches the frontline; India Stack enables low-cost identity and document checks
Economic	Makes change worth it	Attrition becomes a visible cost line; time to hire becomes lost revenue; administration cost scales with headcount
Workforce	Makes change necessary	Growth of gig and platform work; consumer-grade expectations; shorter skill half-life; dispersed and hybrid work
Competitive and regulatory	Makes change urgent	Transparent talent markets and employer brand; DPDP Act 2023; Code on Social Security 2020; peer imitation

EXAM LENS

A strong answer ranks the drivers for a given organization and justifies the ranking with evidence, rather than listing all four equally.

DRIVER 01 · TECHNOLOGICAL

Falling cost, rising reach

Capex to opex

Software as a service removes the capital hurdle that kept mid-size Indian firms out of enterprise HR systems.

The API economy

Point solutions become composable rather than isolated islands.

Mobile reach

For the first time the frontline is technically reachable through personal smartphones.

Public digital infrastructure

India Stack (Aadhaar verification, DigiLocker, e-sign) provides identity and document checks at near-zero marginal cost, something few Western frameworks anticipate.

DRIVERS 02 AND 03

Economic and workforce drivers

Economic: people costs become visible

Once attrition, vacancy days and administration have a rupee figure, an HR problem becomes a Board problem.

Workforce: composition

Contingent, platform and gig labor grows; many HR systems still recognize only permanent employees.

Workforce: expectations and skills

Employees used to consumer apps will not accept slow paper processes; skills decay faster, so reskilling becomes continuous.

Workforce: distribution

Hybrid and dispersed work removes the co-presence that made informal HR possible.

DRIVER 04

Competitive, regulatory and institutional

Competitive

Employer brand, review platforms and referral velocity turn a poor candidate experience into a market signal.

Regulatory

The DPDP Act 2023 makes employee data a compliance surface; the Code on Social Security 2020 and state laws attach duties to platform work.

Institutional

Peers adopt, vendors sell, Boards read the same consultancy reports. The least respectable driver, and often the most powerful.

Regulation is the one driver that does not care whether the organization is ready.

SCHWAB (2016), APPLIED TO HR

Industry 4.0: three claims translated into HR

Schwab's claim	Implication for HR
Velocity: change is exponential, not linear	Multi-year HR system programs risk obsolescence on delivery; sequence in short cycles with measurable checkpoints.
Breadth and depth: it changes who we are, not just what we do	Work identity is in play; resistance often defends a professional self-description, not a process.
Systems impact: whole systems transform	Digitize recruitment and you change workforce composition, learning load and eventually the employment relationship.

EXAM LENS

Schwab writes for the World Economic Forum, an institution with an interest in the framing. Manuti and de Palma (2018) are a useful corrective: technology arrives inside power relations.

THE EVOLVING HR ROLE

Where the HR function is going

Position	Focus	Source of value
Administrative custodian	Records, compliance, payroll	Efficiency
Service provider	Service levels, shared services, query resolution	Relevance
Business partner	Workforce planning aligned to the business	Judgment
Digital change agent	The operating model, the data, and arbitration between vendors, finance and algorithms	Accuracy and governance

EXAM LENS

These positions accumulate rather than replace one another. Link this progression to Ulrich (1997) in your answers.

THEORY IN DEPTH · TORNATZKY AND FLEISCHER (1990)

Adoption depends on technology, organization and environment

THE CORE IDEA

The TOE framework explains why firms adopt technology by examining three contexts together.

HOW IT WORKS

Technology: what is available and fits. Organization: size, slack, skills. Environment: competitors, regulators, partners.

LIMITS AND CRITIQUE

A broad checklist rather than a precise theory; it names factors but not their weights.

IN PRACTICE

Many Indian firms have the technology (cloud, mobile, India Stack) and the environmental pressure (DPDP Act), but lack the organizational skills to use them.

EXAM LENS

Use TOE to structure an adoption analysis in three parts, then say which context is binding in the case given.

THEORY IN DEPTH · DIMAGGIO AND POWELL (1983)

Firms copy each other to look legitimate

THE CORE IDEA

Institutional isomorphism: organizations become alike not only for efficiency but for legitimacy.

HOW IT WORKS

Coercive pressure (laws, regulators), mimetic pressure (copying peers under uncertainty), normative pressure (professional standards).

LIMITS AND CRITIQUE

It explains similarity well, but less well why some firms resist or innovate.

IN PRACTICE

A Board asking "why are our peers digital and we are not?" is applying mimetic pressure; the DPDP Act is coercive pressure.

EXAM LENS

Distinguish the three pressures precisely. Critically, note that mimetic adoption can produce technology without capability.

THEORY IN DEPTH · BARNEY (1991)

Advantage comes from resources rivals cannot copy

THE CORE IDEA

The resource-based view: lasting advantage needs resources that are valuable, rare, inimitable and nonsubstitutable.

HOW IT WORKS

Software anyone can buy is not rare. Advantage lies in how people, data and processes are combined.

LIMITS AND CRITIQUE

Critics call it hard to test, since rare resources are often identified only after success.

IN PRACTICE

Buying a leading HR suite gives no lasting advantage; clean data and a workforce able to use it might.

EXAM LENS

Use the resource-based view to argue why HR technology alone cannot be a source of competitive advantage.

THEORY IN DEPTH · ULRICH (1997)

HR plays four roles, and the change agent role is the hardest

THE CORE IDEA

HR can be administrative expert, employee champion, strategic partner and change agent.

HOW IT WORKS

The roles sit on two axes: process or people, and day-to-day or future-focused.

LIMITS AND CRITIQUE

Later work warned that chasing strategic roles can neglect employee advocacy.

IN PRACTICE

Digital HR frees time from administration only if HR then takes up strategic and change roles.

EXAM LENS

A strong answer shows that digitization automates the administrative expert role and asks what replaces it.

COMPARE AND EVALUATE

Four lenses on why organizations transform

Theory	Explains	Main weakness
TOE (Tornatzky and Fleischer, 1990)	Whether adoption happens	Names factors without weights
Institutional isomorphism (DiMaggio and Powell, 1983)	Why firms look alike	Weak on resistance and innovation
Resource-based view (Barney, 1991)	Whether adoption creates advantage	Hard to test in advance
HR roles (Ulrich, 1997)	What HR becomes after digitization	Can neglect employee advocacy

PRACTICE FOR THE END-TERM EXAMINATION

Questions to rehearse

Distinguish drivers from technologies in HR digital transformation. Using the four families of drivers, explain why Indian organizations are transforming their HR systems now. **20 marks**

A strong answer: defines both terms; ranks drivers with justification; uses Indian specifics (India Stack, DPDP Act, gig growth); notes that institutional drivers can produce technology without capability.

"Buying HR technology cannot create competitive advantage." Evaluate this statement using the resource-based view and institutional theory. **20 marks**

A strong answer: applies the VRIN test; contrasts mimetic adoption with capability building; concludes with the conditions under which technology does contribute to advantage.

Explain Ulrich's four HR roles and show how digital transformation changes their relative importance. **10 marks**

A strong answer: names the roles and axes; links automation to the administrative role; identifies the change agent role as the hardest.

CARRY THESE INTO THE EXAMINATION

Three things to remember

1. **Drivers change the cost of not acting; technologies make acting possible**
   Answer "why now" with drivers.

2. **Four families: technological, economic, workforce, competitive and regulatory**
   Rank them for the case; do not list them equally.

3. **Adoption is not maturity**
   Technology can be bought; the capability to use it must be built.

SET READINGS · FROM THE LESSON PLAN

Read for this lecture

- Westerman, G., Bonnet, D., & McAfee, A. (2014). *Leading Digital*, Chapters 1 and 2 and the maturity framework.
- Scully-Russ, E., & Torraco, R. J. (2020), pp. 73–77 (the antecedents: technology, finance, worker behavior, institutional shifts).
- Deloitte, *Global Human Capital Trends* (latest), selected sections.

COMPANION

Each set reading is explained in the matching Unit Reader on rksingh.tech/materials.

THEORY SOURCES · FOR REFERENCE

Sources for this lecture

Works named on the slides of this lecture. They are background sources, not set readings.

Barney, J. (1991). Firm resources and sustained competitive advantage. *Journal of Management, 17*(1), 99–120. https://doi.org/10.1177/014920639101700108

DiMaggio, P. J., & Powell, W. W. (1983). The iron cage revisited: Institutional isomorphism and collective rationality in organizational fields. *American Sociological Review, 48*(2), 147–160. https://doi.org/10.2307/2095101

Manuti, A., & de Palma, P. D. (2018). *Digital HR: A critical management approach to the digitilization of organizations*. Palgrave Macmillan.

Schwab, K. (2016). *The fourth industrial revolution*. World Economic Forum.

Tornatzky, L. G., & Fleischer, M. (1990). *The processes of technological innovation*. Lexington Books.

Ulrich, D. (1997). *Human resource champions: The next agenda for adding value and delivering results*. Harvard Business School Press.